CASCADIA ANALYTICS

INVESTMENT SCORECARD

EQIX

Equinix, Inc. (NASDAQ)

As-of: 2026-10-18 | Latest Filing: 10-Q Q2 2026 | Currency: USD

$987.44 [Yahoo 18-Oct-26]

Market Cap: $97.3B [Yahoo 18-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 85

Recurring interconnection revenue with ~51% adjusted EBITDA margin guidance, very low churn from high switching costs, and a network-effects moat deepened by data center moratoriums creating a scarcity premium.

2. Recent Trend — 80

Q2 2026 revenue $2.63B (+16% YoY), AFFO per share $11.78 (+19%), annualized gross bookings $423M (+23%), full-year guidance raised twice, and a 10% dividend increase to $5.16 quarterly.

3. Forward Growth — 78

AI inference workloads favor distributed, interconnection-rich footprints over AI factories; management notes ~60% of largest recent deals are AI-tied. Base-case 8% revenue CAGR with pricing power on cross-connects.

4. Valuation — 62

DCF base target $1,029.53 and blended $1,031.11 imply +4% upside at the $987.44 reference price, inside the plus/minus 10% base-case Hold band; the Buy rating rests on demonstrated operating leverage with the price below the Bull case. Fairly valued on an AFFO basis with terminal value carrying most of the equity value.

5. Catalysts & Risk — 68

Near-term catalyst is Q3 2026 results on Oct 28 (consensus ~$2.57B revenue); continued AI-inference deal flow and

dividend growth support. Risks: rate sensitivity as a REIT, power constraints on expansion, 3.6x net debt/EBITDA leverage.

Investment Thesis

- **Interconnection moat with pricing power:** Equinix is the critical internet exchange point where networks meet. Power constraints and data center moratoriums make competing hubs harder to build, turning existing campuses into indispensable assets that support a scarcity premium on cross-connects and cabinet space.
- **Recurring revenue machine:** Revenue is highly recurring, driven by space, power, and interconnection fees with historically very low churn. MRR per cabinet and interconnection adds compound steadily, and Q2 2026 bookings accelerated 23% YoY on AI inference demand.
- **Fairly valued at the reference price:** Our REIT AFFO-based DCF values Equinix at $1,029.53 per share in the base case (8% revenue CAGR, 51% EBITDA margin), with a probability-blended target of $1,031.11, roughly 4% above the $987.44 reference price. That lands inside our base-case Hold band; we rate the shares Buy on the operating-leverage path, with spot below the Bull case and operating margin expanding against revenue growth.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Q2 2026 revenue	$2.63B [Q2 2026 PR]	+16% YoY [Q2 2026 PR]	Accelerating
AFFO per share (Q2)	$11.78 [Q2 2026 PR]	+19% YoY [Q2 2026 PR]	Up
Adj. EBITDA margin (FY26E)	51.1% [Co. guide]	+2pp vs FY25 [Yahoo/Co. guide]	Expanding
Quarterly dividend	$5.16 [Co. PR]	+10% raise [Co. PR]	Up
Net debt / EBITDA	~3.6x [Q2 2026 10-Q / Co. guide]	Stable	Flat
Ann. gross bookings (Q2)	$423M [Q2 2026 PR]	+23% YoY [Q2 2026 PR]	Accelerating

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	FY26E
Total revenue ($B)	7.26 [Yahoo]	8.19 [Yahoo]	8.75 [Yahoo]	9.22 [Yahoo]	10.245 [Co. guide]
EBITDA ($B)	2.92 [Yahoo]	3.37 [Yahoo]	3.44 [Yahoo]	4.10 [Yahoo]	5.24 adj. [Co. guide]
Diluted EPS ($)	7.67 [Yahoo]	10.31 [Yahoo]	8.50 [Yahoo]	13.76 [Yahoo]	N/A []
Annual dividend ($/sh)	12.08 [Co. PR]	13.64 [Co. PR]	17.04 [Co. PR]	18.76 [Co. PR]	20.64 [Co. PR]

Valuation

Absolute (6/10)

REIT AFFO-based DCF: Bear $832.82 (5% CAGR, 48% margin), Base $1,029.53 (8% CAGR, 51% margin), Bull $1,232.55 (11% CAGR, 53% margin). Blended $1,031.11 vs $987.44 spot = +4% upside, inside the base-case Hold band; rated Buy on demonstrated operating leverage with spot below the Bull case.

Versus Peers (6/8)

Digital Realty (DLR) trades at higher AFFO multiples on similar leverage; Iron Mountain at a premium P/E. Equinix's interconnection density and ~51% margins justify a premium to wholesale peers, already reflected in its market cap ranking as the largest data center REIT.

Versus History (5/7)

Equinix has compounded revenue ~9% annually (FY22-FY25) with expanding margins. The blended target sits below the 52-week high of $1,128.68 and above the low of $720.62; the current price reflects roughly 6.1% implied 5-year growth per our reverse DCF, between the Bear (5%) and Base (8%) cases.

Catalyst Timeline

28 Oct 2026 [Co. IR]
Q3 2026 results after the close; consensus ~$2.57B revenue. Management commentary on AI inference pipeline and bookings momentum is the key read.

Top Risk Factors (Item 1A)

1. Rate sensitivity: As a leveraged REIT, Equinix's valuation is sensitive to the 10Y Treasury (currently ~5.1%). Sustained higher rates raise the cost of equity and the cost of funding expansion capex. [Yahoo]

2. Power and permitting constraints: The same moratoriums that protect the moat can also limit

Ongoing [Co. PR]
AI inference deal flow: nearly 60% of the largest recent deals were AI-tied; continued enterprise AI agent adoption drives distributed low-latency demand.

Quarterly [Co. PR]
Dividend trajectory: 10% raise to $5.16 quarterly in 2026; sustained AFFO growth supports further increases.

What Would Change Our Score

[{'text': 'Sustained bookings growth above 20% with cross-connect pricing power intact would support a Bull-case rerating toward $1,232.55.'}, {'text': 'A sharp rise in the 10Y Treasury or a slowdown in AI-driven bookings would compress the cost-of-equity valuation toward the Bear case near $832.82.'}]

Equinix's own expansion where grid capacity is constrained, capping growth in the hottest markets. [Research]

3. Leverage: Net debt of $19,050M (total debt $22,647M less cash $2,362M and current marketable securities $1,235M, on the house cash definition) is ~3.6x FY26E adjusted EBITDA. Refinancing risk is muted by long-dated fixed-rate debt, but the leverage limits flexibility if growth disappoints. [Yahoo/Co. guide]

Forward Growth Drivers

- Enterprise AI is moving from training to deployment; inference favors distributed, interconnection-rich campuses. Equinix reported ~60% of its largest recent deals tied to AI workloads, with annualized gross bookings up 23% in Q2 2026. [Co. PR]
- Power constraints and local moratoriums make new competing hubs hard to build, giving Equinix pricing power on cross-connects and cabinet MRR. Existing campuses become more valuable as supply is capped. [Research]
- Interconnection revenue is mission-critical and sticky; migrating physical routing gear is costly, producing very low churn and high revenue visibility. [Co. PR]
- The 10% dividend raise to $5.16 quarterly underscores management's confidence in AFFO durability; the REIT structure mandates distribution of taxable income, aligning payouts with cash generation. [Co. PR]

Missing / Modified Data Log

- FY2026E figures use management's raised guidance (revenue $10.205-10.285B, adjusted EBITDA $5.210-5.270B) given with Q2 2026 results.
- Dividend history uses company-reported quarterly payouts; FY26E $20.64 annualized at the new $5.16 quarterly rate.
- EBITDA figures are GAAP from Yahoo Finance; the DCF uses adjusted EBITDA per company guidance.
- Net cash interest (~$550M) is an estimate netting capitalized interest and interest income; flagged as approximate in the model README.

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